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Business Management HL

Extended Essay

ZARA

Title: The importance of Product Portfolio and Marketing Influence

Research question:

To What Extent Does ZARA's Product Portfolio and Marketing Strategies Contribute to it's
Dominance in a Fashion Retail Market ?

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SECTION I: INTRODUCTION

Background of the study

Overview of The Fashion Retail Industry and ZARA's role

Tracing back to Ancient Rome and Ancient Egypt¹, fashion has long been a status symbol for the wealthy and the elite. Since its inception, clothing has been a tool of perception². This continues on to this day as we see individuals wearing styles, colours and patterns to express themselves. Each piece of clothing that is worn by an individual creates a distinct perception to society.

As time progresses and technology develops, brilliant minds produce designs that live on forever and Consumer demand increases. This introduces us to the fundamental rule of business and complemented by the fundamental rule of economics, where there is demand there must be supply and where there is excess supply the price decreases. Renowned designers such as Guccio gucci, Mademoiselle chanel, Louis Vuitton and **Amancio Ortega Gaona**³, who strategically adapted and reinterpreted designs of these brands, entered the fashion business. **ZARA**⁴, created by amancia, initially known to imitate major brands but soon to have underwent a renowned rebrand in the history of fashion retail and as a result crafted a multi-billion dollar company with over nearly **7000 stores**⁵ worldwide.

¹Testbook. "History of Fashion: Check Brief History, Origin, Timeline Detail!" *Testbook*, 9 Oct. 2023, testbook.com/history-of/fashion#:~:text=History%20of%20Fashion%20in%20the,for%20fashion's%20role%20in%20society.

² GERIE, VANESSA. "Front Matter." *Borderless Fashion Practice: Contemporary Fashion in the Metamodern Age*, Rutgers University Press, 2023, pp. i-vi. *JSTOR*, <https://doi.org/10.2307/ji.18530862.1>. Accessed 8 Mar. 2025.

³ Behan, Ann. "Amancio Ortega: Founder of Zara and Richest Person in Spain." *Investopedia*, 18 Apr. 2024, www.investopedia.com/terms/a/amancio-ortega.asp#:~:text=From%20Manufacturing%20to%20Retail:%20The,the%20parent%20company%20for%20Zara.

⁴ Martinroll. "The Secret of Zara's Success: A Culture of Customer Co-creation | Martin Roll." *Martin Roll*, 7 Dec. 2021, martinroll.com/resources/articles/strategy/the-secret-of-zaras-success-a-culture-of-customer-co-creation/#:~:text=Zara%20was%20founded%20by%20Amancio.name%20Zorba%20was%20already%20taken.

⁵ Gautam, Vanya. "The Success Story of Zara: From Starting With Just 30 Euros to Owning Nearly 7,000 Stores Today." *Indiatimes*, 12 Jan. 2022, www.indiatimes.com/worth/news/the-success-story-of-zara-559147.html.

Presently, businesses populate the fashion retail businesses giving the customers more to choose from than ever before and has created one of the most saturated industries to have ever existed. **Contemporary Fashion Retail**⁶ reflects low prices, excess supply and minimal differentiation yet ZARA has managed to stay head and heels above the rest of its competition earning the name “**The Biggest Fashion Retailer**”⁷ in the world.

How has ZARA managed to ultimately differentiate itself in such an industry, Is it the product portfolio, their marketing strategies, Their responsiveness to their customers or is it the sophistication of their operations. Let’s further explore this by looking into ZARA’s Business model.

ZARA’s Business Model and its Significance in the Study

ZARA’s business model is it’s building block to it’s dominance. As best described by **Aditya Shastri**⁸ in an article by The Digital Model, “The clothing is not designed to go out of style but run out of stock.” This perfectly prefaces Zara’s business model along with their mission statement⁹, “Give customers what they want and give it to them faster than anyone else.”

ZARA has perfected it’s **business model**¹⁰ to speed up operations from the design and manufacturing process to the packaging and the delivery minimising the time generally required for operations. ZARA does this by meticulously managing their **Operations**¹¹ which range from product design and development followed by

⁶ ---. “Contemporary Fashion. What Is It and What You Should Know About the Designers?” *D2LINE Blog*, 5 May 2022, d2line.com/thatlook/contemporary-fashion .

⁷ Malls.com. “Zara’s Road to Becoming the Biggest Fashion Retailer Worldwide - Malls.com.” *Malls.com*, 1 Oct. 2024, www.malls.com/zara-s-road-to-becoming-the-biggest-fashion-retailer-worldwide .

⁸ Shastri, Aditya. “The Importance of Product Portfolio and Marketing Influence .” *ZARA*, thesis, 2021.

⁹ ---. “The Secret of Zara’s Success: A Culture of Customer Co-creation | Martin Roll.” *Martin Roll*, 7 Dec. 2021, martinroll.com/resources/articles/strategy/the-secret-of-zaras-success-a-culture-of-customer-co-creation/#:~:text=The%20Zara%20empire%20is%20built,them%20faster%20than%20anyone%20else%E2%80%9D .

¹⁰ Pereira, Daniel. “Zara Business Model - How Does Zara Make Money.” *Business Model Analyst*, 9 Feb. 2025, businessmodelanalyst.com/zara-business-model .

¹¹ Francis, Abey. “Case Study: Zara’S Operational Model.” *MBA Knowledge Base*, Apr. 2024, www.mbaknol.com/management-case-studies/case-study-zaras-operational-mode l.

manufacturing and delivery not to mention the maintenance and specially curated advertising and marketing for their customers.

In addition, ZARA's business model can be characterised by its R&D or (**Research and Development**)¹². Moreover, its ability to swiftly identify key trends using **Social Media**¹³ such as Tiktok or instagram and transferring it to the development and design department and the consequent efficiency in addition to the speed of the process certainly puts it on the map as one of the competitors for the title of the best fashion retailer.

Objectives of the Study

This paper examines ZARA's product portfolio and marketing strategies using a mixed-methods approach. By combining qualitative literature review with quantitative analysis of key performance indicators, the study evaluates how these factors contribute to ZARA's market dominance relative to its competitors. The fashion industry acts as a great base to analyse marketing and pricing methods as the industry includes companies with a similar "unique selling points" that is price and agility. So what really makes a company in an industry where every brand has similar clothes, follow similar trends and share similar values and even identical websites offer to dominate and have a significant portion of the market share.

Significance of the Study

This study offers a comprehensive overview of the **fashion retail industry**¹⁴ and one of its biggest players ZARA and offers businesses crucial data to potentially break into the industry and set itself apart from

¹² Steady Pace Consultancy. *THE SECRET OF ZARA'S SUCCESS: DATA-DRIVEN DECISIONS*. 3 Sept. 2023, www.linkedin.com/pulse/secret-zaras-success-data-driven-decisions-steadypace-sa#:~:text=1%2D%20Online%20Customer%20Surveys%20:to%20enhance%20the%20online%20experience.

¹³ Lopes, Beatriz. "Zara's Social Media Marketing Strategy in 5 Lessons." *Brafton*, 23 Dec. 2024, www.brafton.com/blog/social-media/zara-social-media-marketing-strategy.

¹⁴Research, Zion Market, and Zion Market Research. "Fashion Retail Market Size, Share, Growth, Analysis, Trends, 2032." *Zion Market Research*,

competitors in an overly saturated market where customers have unlimited choices. Additionally, it can provide business in all industries a detailed marketing overview of a billion dollar marketing strategy and prompt them to implement strategies for their companies that could benefit their business plan. By incorporating business management tools such as **porter's five forces**¹⁵ , **value chain analysis**¹⁶ and quantitative methods like **financial ratios**¹⁷. This paper will go into depth into the fast fashion industry using the porter's five forces , through which we get a closer look into the industry and we will go into more detail by utilising value chain analysis and the BCG matrix to efficiently analyse ZARA's product portfolio in depth and the 4 P's of marketing to look into ZARA's marketing to discern the overall contribution to it's dominance in the fast fashion industry. Let's begin by taking a look at the fashion industry as whole to posit a clear basis for our Research Question.

Key characteristics and trends in the Industry

As aptly described by **The Fashion Retail Academy**¹⁸, "Fashion retail describes businesses that sell clothes and accessories directly to customers in store" it can be further characterised by high volatility , low predictability , seasonibilty and short lifecycles. The fashion retail industry hence does seem challenging to break into , however with the emergence of online shopping and rise of ecommerce it is being increasingly easier for anyone with a certain amount of capital and internet resources to break into the industry. The key trend in the fashion trend remain **Sustainability**¹⁹, the west has had an increasingly environmentally conscientious approach in recent years leading to the success of various brands inside and outside the fashion industry .The other key trends in the fashion industry include experiential retail where customers desire more than a one time interaction with the brand but rather a connection that can be built of that one transaction.

¹⁵ *The Five Forces - Institute for Strategy and Competitiveness - Harvard Business School.*
www.isc.hbs.edu/strategy/business-strategy/Pages/the-five-forces.aspx .

¹⁶ "What Is a Value Chain Analysis? 3 Steps | HBS Online." *Business Insights Blog*, 3 Dec. 2020,
online.hbs.edu/blog/post/what-is-value-chain-analysis .

¹⁷ Team, Cfi. "Financial Ratios." *Corporate Finance Institute*, 11 May 2024, corporatefinanceinstitute.com/resources/accounting/financial-ratios .

¹⁸ *Fashion Careers: Guide to Fashion Retail | FRA.* www.fashionretailacademy.ac.uk/resources/guide-to-fashion-retail .

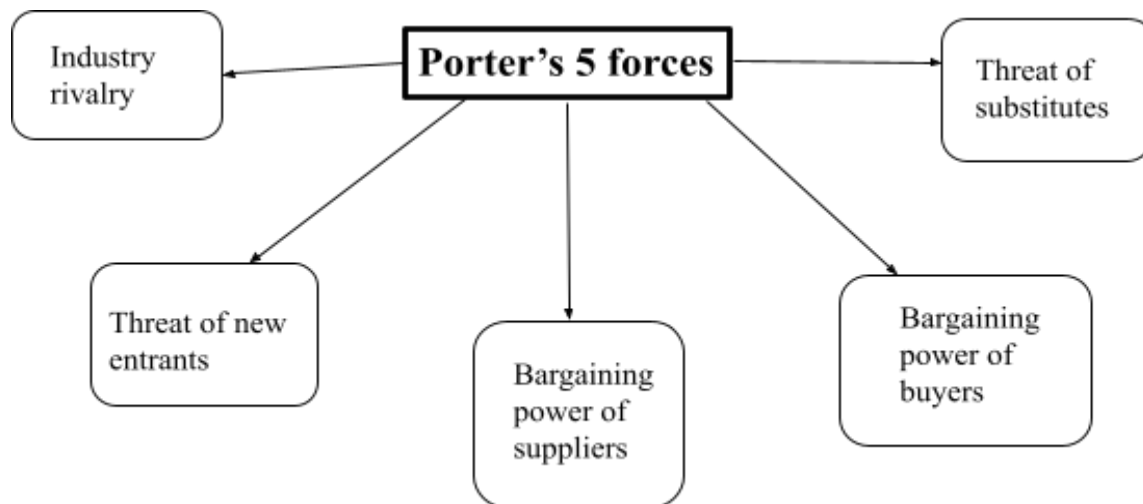
¹⁹ --. "The State of Sustainability in the Fashion Industry." *Infomineo*, 16 Feb. 2024,
infomineo.com/sustainable-development/the-state-of-sustainability-in-the-fashion-industry .

In conclusion, though the fashion retail market can be characterised as a saturated market , these particular trends show that theres room for further diversification between brands. But the question lies in the fact that no brands currently in the industry have been differentiated to a point where customers would choose the brand for it. Nevertheless, ZARA has garnered a significant portion of the market share even as they struggle with issues of sustainability in comparison to other brands such as mango as seen earlier and also have a higher price point in comparison to competitors like H&M and gap. Hence, This paper aims to answer the question, To What Extent Does ZARA's Product Portfolio and Marketing Strategies Contribute to it's Dominance in a Saturated Market ?

SECTION II : LITERATURE REVIEW

Competitive strategy theories²⁰ in business studies can be used as analytical tools to analyse businesses and uncover their internal operations as well as their perception in industry and its effect on how the company chooses to operate.

Fig 1: Porter's 5 forces



²⁰ eBusiness@Newcastle. *Competitive Strategy Theory - TheoryHub - Academic Theories Reviews for Research and T&L.*
open.ncl.ac.uk/academic-theories/35/competitive-strategy-theory .

As described by **Porter**²¹ himself “*The essence of strategy formulation is coping with competition.*” This particular model, as created by Porter, is known as Porter’s five forces referring to the five competitive forces used to analyse a particular industry. Here, let’s take a closer look at the fashion retail industry and analyse the specificities and understand how that contributes to our overall analysis in terms of ZARA.

Let’s begin with industry rivalry. Industry rivalry²² can be characterised by number of competitors, industry of growth, similarities in what’s offered, exit barriers and fixed costs. The fashion industry is extremely saturated²³ with over 300,000 companies in the world valued at around 91.25 billion dollars in 2023²⁴. Technically, since the barriers to entry with the rise of the entry are minimal, all of the companies offering similar products can be considered competitors which gives us a rough idea of potential competitors in the industry. Additionally, we can further break this down by the top performing companies according to Forbes which are H&M, ZARA and Uniqlo. We can further break this down by conducting a comparative analysis study which will be available subsequently to CASE STUDY 1.

The growth of e-commerce and social media marketing has made it simpler for emerging brands to break into the market. Small fashion startups can initiate online-first business strategies with direct-to-consumer shipping, eliminating the requirement for brick-and-mortar stores. Nonetheless, competing with well-established brands worldwide presents a completely different challenge. Fast fashion depends greatly on the efficiency of the supply chain, economies of scale, and the speed of production—elements that necessitate years of infrastructure development. Established brands such as ZARA and H&M have developed sophisticated logistics systems that lower expenses and enhance market entry speed, posing challenges for new entrants to

²¹ Gratton, Peter. “Porter’s Five Forces Explained and How to Use the Model.” *Investopedia*, 18 June 2024, www.investopedia.com/terms/p/porter.asp

²² Mars Discovery District. “Industry Rivalry and Competition | Porter’s Five Forces.” *MaRS Startup Toolkit*, 1 Aug. 2019, learn.marsdd.com/article/industry-rivalry-and-competition-using-five-forces/#:~:text=Industry%20rivalry%20usually%20takes%20the%20opportunity%20to%20improve%20their%20position.

²³ Balchandani, Anita, et al. “The State of Fashion 2025: Challenges at Every Turn.” *McKinsey & Company*, 11 Nov. 2024, www.mckinsey.com/industries/retail/our-insights/state-of-fashion.

²⁴ Statista. “Biggest Companies in the World by Market Value 2023.” *Statista*, 4 July 2024, www.statista.com/statistics/263264/top-companies-in-the-world-by-market-capitalization.

compete equally. Although digital-first disruptors such as SHEIN have succeeded, the majority of new entrants find it challenging to reach the same level of scale and operational efficiency.

In fast fashion, the bargaining power of suppliers is low because of the numerous manufacturing choices available globally. The majority of companies obtain raw materials and labor from inexpensive production centers such as China, Bangladesh, and India, where they can find numerous suppliers vying for contracts. This enables large brands to secure bulk prices and short-term agreements, maintaining low costs and high flexibility. Nonetheless, new challenges are arising in supplier relationships. Growing awareness of sustainability, ethical labor standards, and more stringent regulations are returning some power to suppliers, particularly those providing environmentally friendly materials and responsible sourcing. Nonetheless, major fast fashion companies continue to exert considerable influence over their supply chains.

Customers wield considerable power in the fast fashion sector because of no switching costs—they can effortlessly transition between brands depending on price, design, or brand image. Given the plethora of options, businesses need to constantly innovate to maintain customer loyalty. Numerous brands depend on regular collection releases to generate urgency, establish loyalty programs to promote repeat buying, and create smooth online and in-store experiences to maintain customer engagement. Nonetheless, shifting consumer habits present a challenge. The growth of sustainable fashion, second-hand shopping, and ethical purchasing is compelling brands to adjust or face the possibility of becoming irrelevant in a changing market.

Fast fashion is encountering growing competition from other shopping choices that meet various consumer priorities. High-end brands draw customers looking for exclusivity, whereas eco-friendly fashion brands attract individuals who value ethics and environmental accountability. Moreover, thrift shops and resale platforms are becoming increasingly popular as affordable and environmentally friendly shopping grows in popularity. Although the craving for budget-friendly, trend-focused apparel endures, the transition towards slow fashion and sustainability is slowly altering industry standards. Fast fashion companies need to evolve by incorporating sustainable practices and tackling consumer issues regarding ethical manufacturing in order to sustain their market presence.

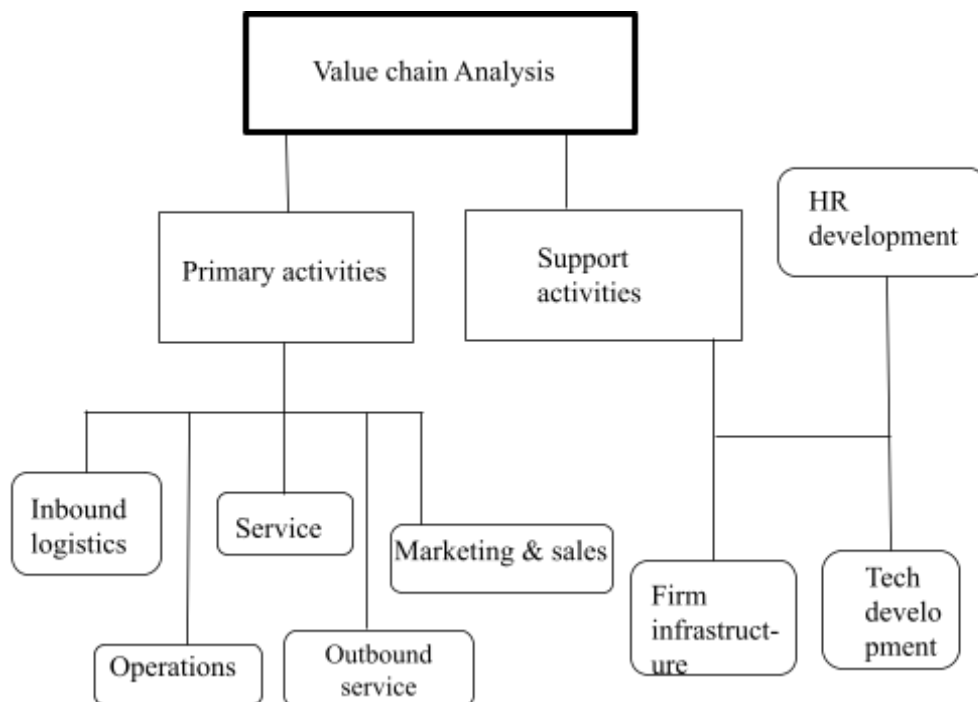


Fig 2 : Value chain analysis

Value chain analysis²⁵ is a strategic process that evaluates a company's activities to identify areas of improvement by analysing each area and understanding how it adds value to the business. A price chain analysis of Zara will help break its competitive advantage by looking at primary and support activities that add values to its products. Let us composition it using the price chain model of the porter, including primary activities (directly related to production and distribution) and support activities (which enable primary activities to function efficiently). Zara value chain analysis Primary activities Inbound Logistics (Skilled Supply Series and Sourcing) Zara follows a **Just-in-time inventory system**²⁶, which means that it receives raw materials often and in small batches. The company is an important part of its supply chain, which allows tight control over materials and suppliers.

²⁵ "Value Chain Analysis: Definition, Examples, Types, and More." *Zendesk*, 19 Feb. 2025, www.zendesk.com/in/blog/value-chain-analysis.

²⁶ Raj, Anita. "Just-In-Time Management - How to Manage Inventory in 2025." *ThroughPut Inc.*, 6 Dec. 2024, throughput.world/blog/just-in-time-inventory-management.

Zara works with small batch production²⁷, ensures low inventory waste and quickly reacting to demand change. The production cycle is only 2–4 weeks, which is much faster than traditional retailers. Outbound logistics Centralized logistics: Zara products are sent from Spain to global markets within 48 hours and use high-tech warehouses with automatic sorting and shipment processes. Repeated delivery (twice a week) ensures fresh inventory to store worldwide.

Zara spends less than 0.5% revenue on advertising²⁸, rely on store locations and marketing of word-mouth. Instead of aggressive promotion, Zara focuses on scatter-driven marketing, where limited stock encourages urgency in purchase. Strong e-commerce appearance with an **integrated omnichannel strategy**²⁹ (app, website, physical store). Service (Customer Experience and Brand Affairs) The ZARA makes the consumer reaction and sales data to improve product design and production cycles. It uses AI and data analytics to understand customer preferences. Faithful customers often return due to Zara's ability to provide fresh styles regularly.

Decentralized decision³⁰ making allows store managers to provide insight on local preferences. Lean cost structure and no excessive inventory buildups, reducing Markdown. Human resource management Zara's designers work in cross-functional teams, which closely analyze the runway trends and customer response. Employees are trained for flexibility, allowing them to respond quickly to new designs or changes in consumer demand. Technology development : Zara takes advantage of **RFID technology**³¹ to track inventory and

²⁷ Hugos, Michael. "Zara Clothing Company Supply Chain | SCM Globe." *SCM Globe*, 6 Feb. 2025, www.scmglobe.com/zara-clothing-company-supply-chain/#:~:text=Zara%20changes%20its%20clothing%20designs,satellite%20view%20of%20this%20facility .

²⁸ ---. "The Secret of Zara's Success: A Culture of Customer Co-creation | Martin Roll." *Martin Roll*, 7 Dec. 2021, martinroll.com/resources/articles/strategy/the-secret-of-zaras-success-a-culture-of-customer-co-creation/#:~:text=Zara%20has%20used%20almost%20a.3.5%20per%20cent%20by%20competitors .

²⁹ Insights Hunter. "Zara's Store Mode, the Ultimate Omnichannel Experience." *Medium*, 6 Jan. 2022, medium.com/@insightshunter/zaras-store-mode-the-ultimate-omnichannel-experience-3d3b7c4acfa .

³⁰ Agarwal, Priyanshi, et al. "Zara's Supply Chain Management and Fast Fashion Model." *INTERNATIONAL JOURNAL OF MULTIDISCIPLINARY RESEARCH IN SCIENCE, ENGINEERING AND TECHNOLOGY*, vol. 7, no. 12, Nov. 2024, pp. 17924–25, doi:10.15680/IJMRSET.2024.0712061 .

³¹ Amsler, Sarah, and Sharon Shea. "RFID (Radio Frequency Identification)." *Search IoT*, 31 Mar. 2021, www.techtarget.com/iotagenda/definition/RFID-radio-frequency-identification/#:~:text=Share%20this%20item%20with%20your,in%20the%20RFID%20tag%20itself .

customize repayment. Demand uses AI and Big Data for forecasting and supply chain efficiency. Digital changes in e-commerce and promoted reality (AR) in some stores. Procurement Zara controls source of fabric and purchases in bulk to save costs while maintaining flexibility. Continuous efforts include organic and recycled materials, reducing waste in production.

Quantitative Models (calculated using inditex³² 2023 yearly report)

Quantitative Model 1: Financial Ratio Analysis³³ (€)

1) Inventory turnover

$$\text{Inventory Turnover} = \frac{\text{COGS}}{\text{Average inventory}}$$

COGS = € 15186 million , Inventory = € 2966 million

$$\text{Inventory Turnover} = \frac{15186}{2966} = 5.12$$

Inventory turnover³⁴ tells us how fast inventory is sold . In the fashion industry, a high inventory turnover ratio is typically around 4-6 times per year. According to the AY 2023 reports, ZARA's inventory turnover ratio is 5.12 times per year, which puts it below the upper limit fast fashion industry standard, though it still reflects a relatively efficient inventory management process. While ZARA is widely touted as a fast-fashion leader, one of its core marketing points is its rapid production and quick inventory turnover. However, our analysis reveals that ZARA's inventory turnover rate (5.12 times per year) is notably lower than the typical

³² INDITEX | FY2023 Results. www.inditex.com/itxcomweb/in/en/press/news-detail/10da31b6-0c12-43e4-9e33-103766d27821/fy2023-results .

³³---. "Financial Ratios." *Corporate Finance Institute*, 11 May 2024, corporatefinanceinstitute.com/resources/accounting/financial-ratios.

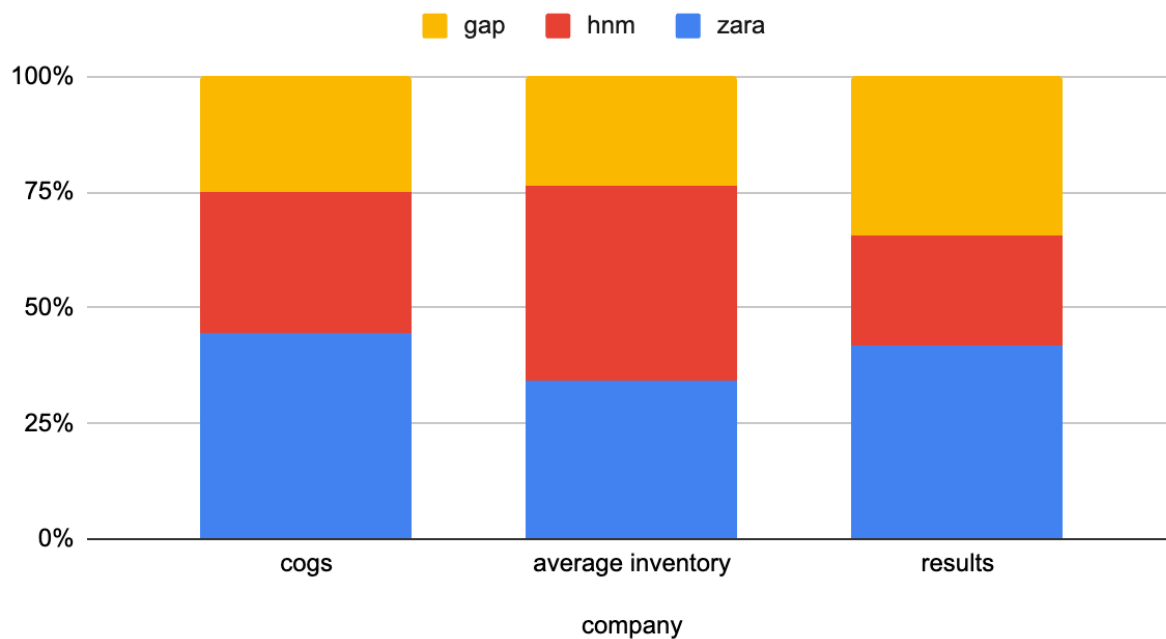
³⁴ "Stock Turnover Ratio | Formula + Calculator." *Wall Street Prep*, 2 May 2024, [www.wallstreetprep.com/knowledge/stock-turnover-ratio/#:~:text=The%20formula%20to%20calculate%20the,COGS\)%20divided%20by%20average%20inventory.&text=The%20calculation%20of%20the%20stock,balance%20for%20the%20corresponding%20period](https://www.wallstreetprep.com/knowledge/stock-turnover-ratio/#:~:text=The%20formula%20to%20calculate%20the,COGS)%20divided%20by%20average%20inventory.&text=The%20calculation%20of%20the%20stock,balance%20for%20the%20corresponding%20period) .

industry standard³⁵ for fast fashion (8–12 times per year). This discrepancy suggests that "fastness," in terms of sheer speed of inventory turnover, may not be the primary driver behind ZARA's market dominance.

Fig 3: comparison of inventory with competitors H&M and Gap

company	company	company	company
cogs	15186	10,467	8,477
average inventory	2,966	3,630	2,038
results	5.120026972	3	4.159470069

cogs , average inventory and results



However, after further analysis with core competitors^{36 37} in the same year AY 2023, we can say that ZARA has the highest turnover rate in comparison to its competitors as shown in figure 3 . This reflects a powerful

³⁵ Alina. "What Is Inventory Turnover in Retail? (Formulas, Benchmarks, Examples) | Retalon." *Retalon*, 20 Nov. 2024, retalon.com/blog/inventory-turnover-ratio .

³⁶ H & M Hennes & Mauritz AB. *Full-year Report*. hmgroupp.com/wp-content/uploads/2024/01/H-M-Hennes-Mauritz-AB-Full-year-report-2023.pdf

³⁷ Dickson, Richard and Gap Inc. *Gap Inc. Reports Fourth Quarter and Fiscal 2023 Results; Provides Fiscal 2024 Outlook*. press-release, PRNewswire, 7 Mar. 2024, s204.q4cdn.com/320226404/files/doc_news/Gap-Inc.-Reports-Fourth-Quarter-and-Fiscal-2023-Results-Provides-Fiscal-2024-Outlook-2024.pdf .

advantage but definitely not enough of a difference in inventory turnover so as to cause the dominance³⁸ ZARA has in the industry.

2) Profit Margin

Net income = € 5395 million, Sales revenue = € 35947 million

$$\text{Profit margin} = \frac{5395}{35947} \cdot 100 = 15.008$$

Profit margin = 15.008%

Profit margin³⁹ refers to the profit earned after all expenses are deducted. In the above case, we can infer that for every € 100 of goods sold a profit of approximately €15 is made by ZARA. In the context of the fashion industry, a healthy profit margin is crucial because it shows the ability to manage production, marketing, and operational expenses while still generating profit⁴⁰. ZARA is performing at or near the upper end of the industry range. This suggests that despite the high volume and competitive pricing⁴¹, ZARA manages its costs well and effectively converts sales into net profit.

Fig 4: Comparison of profit margin with H&M

³⁸ Spanou, Sofia. "How ZARA Dominates the Ecommerce Fashion Industry." *ContactPigeon | Blog*, 21 Nov. 2023, blog.contactpigeon.com/zara-ecommerce.

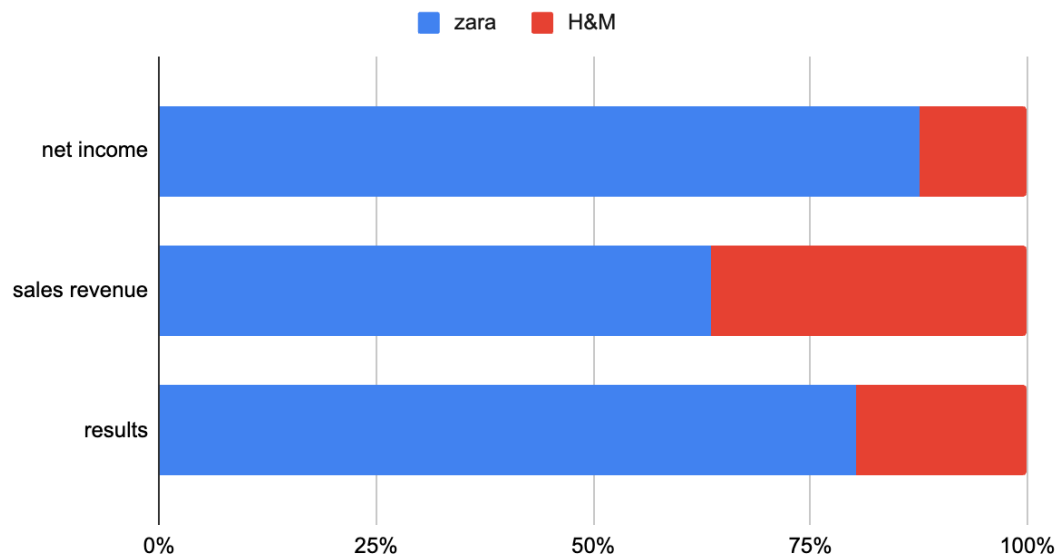
³⁹ Segal, Troy. "Profit Margin: Definition, Types, Uses in Business and Investing." *Investopedia*, 9 July 2024, www.investopedia.com/terms/p/profitmargin.asp.

⁴⁰ INDITEX | FY2023 Results. www.inditex.com/itxcomweb/in/en/press/news-detail/10da31b6-0c12-43e4-9e33-103766d27821/fy2023-results.

⁴¹ J, Aarathi. "Understanding Zara's Pricing Strategy: Analyzing Product Price Distribution." *Datahut Blog*, 29 July 2024, www.blog.datahut.co/post/understanding-zara-s-pricing-strategy-analyzing-product-price-distribution.

	zara	H&M
net income	5395	758
sales revenue	35947	20,520
results	15.00820653	3.693957115

zara and H&M



3) Return on Investment ⁴²

Shareholder's Equity = 32735 , Net Income = 5395 million

$$ROE(\%) = \frac{32735}{5395} \times 100 \approx 16.47\%$$

⁴² Beattie, Andrew. "ROI: Return on Investment Meaning and Calculation Formulas." *Investopedia*, 22 Aug. 2024, [www.investopedia.com/articles/basics/10/guide-to-calculating-roi.asp#:~:text=Return%20on%20investment%20\(ROI\)%20is%20an%20approximate%20measure%20of%20an,a%20wide%20range%20of%20uses](https://www.investopedia.com/articles/basics/10/guide-to-calculating-roi.asp#:~:text=Return%20on%20investment%20(ROI)%20is%20an%20approximate%20measure%20of%20an,a%20wide%20range%20of%20uses) .

ROE shows us how effectively the shareholder's equity is used to generate further profits through investment. Here we can see that ZARA's ROE is 16.47% showing that for every €1 of equity invested by shareholders, the company earns about 16.47 cents in profit. An ROE of 16.47% is generally considered healthy, indicating efficient management and a solid return on investors' capital. In the competitive fast fashion industry, a strong ROE can signal that the company is leveraging its equity effectively to drive growth and maintain market leadership.

Previous Research on ZARA

It's imperative for us to take a closer look at the previous research presented to us with respect to the competitive strategies ZARA utilises to remain a steadfast player as a fast fashion company to answer the research question to its deepest core without going over similar themes covered in previous research and filling in the gaps in literature which will be explored in the next section. Here we can also explore the nature of the research question and how it relates to previous research. The main objectives of the top studies include to study **supply chain operations**⁴³ of ZARA, to analyse **marketing strategies**⁴⁴ and analysing zara's **unique business model**⁴⁵, followed by further recommendations of ZARA.

While the previous research on ZARA as a whole and its marketing strategies have been deeply studied and analysed and will be here as well, my study will be focusing solely and starkly on the apparent **dominance**⁴⁶ of

⁴³ ---. "Zara Clothing Company Supply Chain | SCM Globe." *SCM Globe*, 6 Feb. 2025, www.scmglobe.com/zara-clothing-company-supply-chain.

⁴⁴ *Zara's Marketing Strategy: A Deep Dive Into Fast Fashion Dominance* | Brand Vision. www.brandvm.com/post/zaras-marketing-news

⁴⁵ *Zara Business Model*. www.strategyzer.com/library/zara-business-model.

⁴⁶ Mihnar, Saffran. *Zara's Blueprint for Market Dominance: A Case Study in Agile Fashion*. 1 July 2024, www.linkedin.com/pulse/zaras-blueprint-market-dominance-case-study-agile-fashion-mihnar-gudnc#:~:text=Zara's%20success%20can%20be%20attributed,in%20the%20fast%20fashion%20industry.

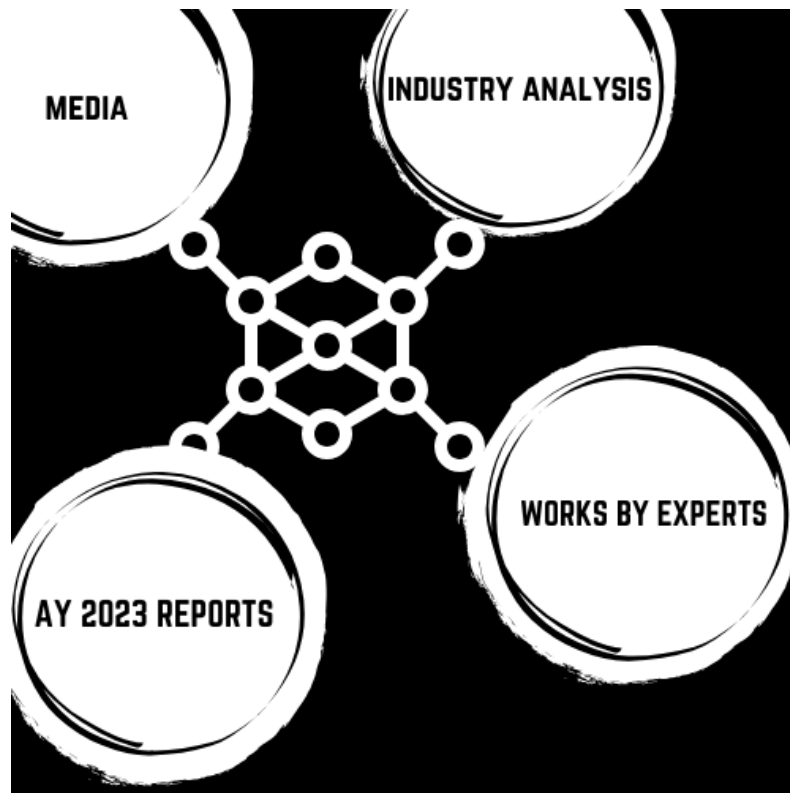
ZARA in a market that is so saturated. What is it that keeps ZARA ahead of its competitors in a saturated market. This study will focus on saturation and as a result will need to analyse and go over marketing strategies and business models to find the reason for its success. Does it boil down to history and how long the brand has been running or is it something deeper? . Further , we can confidently say that the previous study provides a strong base of research for us to continue and analyse ZARA's dominance.

SECTION III: METHODOLOGY

Research Design

This section outlines my research approach using secondary data sources. I reviewed scholarly literature, industry reports (e.g., BCG, McKinsey), and secondary interviews from experts and media. Detailed sources are listed in the bibliography and appendices. I analyzed three perspectives: direct brand data, industry reports, and expert studies to address the research question with integrity. Additionally, I employed business tools such as SWOT analysis, competitive advantage analysis, and Porter's Five Forces for the industry analysis. A SWOT analysis provides insights into internal strengths and weaknesses along with external opportunities and threats, but I needed a framework focused solely on industry-wide analysis before examining specific companies. Competitive advantage analysis is useful for evaluating a single company's market position, but it wasn't the broad perspective I required. Porter's Five Forces offered a comprehensive view of the competitive landscape in fast fashion. To determine where ZARA adds the most value, I selected Value Chain Analysis, which identifies the company's strongest value-creating activities. Finally, I used financial ratios to compare ZARA's profitability and turnover metrics from its 2023 AY reports against competitors, providing a data-driven perspective on its market position.

Fig 4: Methodology



Overview of ZARA's Product Lines

ZARA's product portfolio⁴⁷ consists of men , women , kids , home product lines covering everything from shoes to skirts and boots. Zara's diverse products portfolio plays an important role in their dominance within the saturated fast fashion market. This approach not only distinguishes Zara from competitors such as H&M and Uniqlo, but also strengthens its competitive advantage by ensuring continuous demand. Additionally, joining Zara's **stability-centered**⁴⁸ life collection aligns with increasing consumer preference for moral fashion, which further strengthens its condition. The brand's product strategy is closely connected to its marketing perspective, which depends on minimum advertising, high-end store placements and a scatter-operated demand model rather than traditional promotional strategy.

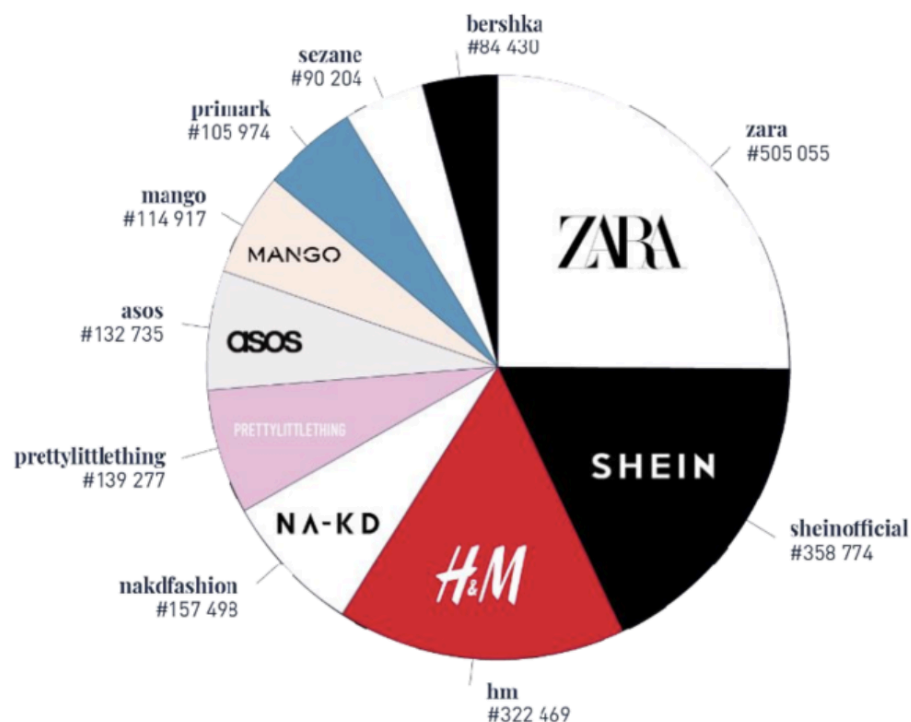
⁴⁷ Prezi, Maggy Ivanova On. "Zara Company Portfolio." *prezi.com*, prezi.com/cvcx1hhc_ppg/zara-company-portfolio .

⁴⁸ Conti, Samantha. "Zara's Green Agenda Sees Zero Waste, 100% Sustainable Fabrics by 2025." *WWD*, 16 July 2019, wwd.com/feature/zaras-green-agenda-zero-waste-100-sustainable-fabrics-1203220857 .

SECTION IV: ZARA’S PRODUCT PORTFOLIO AND MARKETING APPROACHES

ZARA is known for its responsive nature to fashion trends. Its brand includes exclusivity and fast-fashion, with limited-edition drops models and a constantly-English range of product. It creates a sense of urgency in consumers and strengthens ZARA’s image as a trendsetter. H&M, on the other hand, positions itself as a mass market retailer⁴⁹

Pie chart 5: Market share of the fashion retail industry



⁴⁹ “TFR | Strategy Consulting Mass-market Fashion Retailers.” *TFR | Strategy Consulting*, 12 Apr. 2019, [fashionretail.blog/2019/04/22/mass-market-fashion-retailers/#:~:text=Today%2C%20Hennes%20&%20Mauritz%20AB%20\(H&M%20Group\),Cheap%20Monday%2C%20H&M%20Home%2C%20ARKET%20and%20Afound.&text=Today%2C%20its%20brand%20portfolio%20include%20Uniqlo%2C%20Theory%2C,GU%2C%20Comptoir%20des%20Cotonniers%20and%20J%20Brand.](https://fashionretail.blog/2019/04/22/mass-market-fashion-retailers/#:~:text=Today%2C%20Hennes%20&%20Mauritz%20AB%20(H&M%20Group),Cheap%20Monday%2C%20H&M%20Home%2C%20ARKET%20and%20Afound.&text=Today%2C%20its%20brand%20portfolio%20include%20Uniqlo%2C%20Theory%2C,GU%2C%20Comptoir%20des%20Cotonniers%20and%20J%20Brand.)

Its ethos centers on accessibility, inclusivity and affordability. H&M, for instance, aims to give high-fashion appeal at also affordable prices, ensuring they can reach a mass market through frequent partnerships with high-profile designers.

ZARA's product portfolio is fluid and refreshed within weeks enabling the brand to seize emerging trends almost immediately after they are recognized. This specificity in demand keeps customers coming back for new styles, and it is thanks to its we make it, we produce it, we distribute it model helps the brand to create, produce and distribute new collections fast. H&M has even wider assortment of collections which tend to prioritize value and volume over immediacy⁵⁰. While H&M also follows trends, its product cycles are generally longer. This means that while the brand can capitalize on fashion trends, it may not refresh its offerings as frequently as ZARA, which can affect customer visit frequency.

One of ZARA's main strengths is its vertically integrated supply chain. ZARA can restock its stores — physical and online — several times a week, with production largely concentrated in nearby regions like Spain and Portugal. By utilizing this agility, the brand is able to reduce inventory risks while also responding to ever-shifting consumer tastes. H&M has a more globally distributed production network, outsourcing much of its manufacturing to different countries. This allows for lowering production costs, but also leads to longer lead times and less response capability to the rapidly changing trends. This can realise in a slower stock rotation than ZARA sometimes.

With a minimal advertiser approach⁵¹, ZARA allocates less than 0.5% of its sales toward conventional marketing. It rather emphasizes building a robust instore experience, using social media and digital channels to increase engagement. To increase brand awareness, H&M invest seriously in conventional advertising, celebrity endorsements, and major marketing efforts. This is know as the **limited stock strategy**.⁵²

⁵⁰ Ullenius, Kristoffer, and Katarina Ahlner. "From Sketch to Runway: How H&M Adopted Value-based Performance Marketing in 4 Steps." *Think With Google*, 6 Jan. 2025, www.thinkwithgoogle.com/intl/en-emea/marketing-strategies/search/hm-value-based-performance-marketing

⁵¹ Johns, Robert. "The Power of Minimalism in Advertising." *unincorporated*, 5 Aug. 2024, blog.unincorporated.com/why-minimalism-in-advertising-is-so-effective.

⁵² Team, Upstock. "Limited Stock: The Art of Scarcity and Its Impact on Consumer Behavior." *Upstock.io*, 2 Sept. 2023, www.upstock.io/post/limited-stock.

These differences underscore how ZARA maintains a dominant position in the fast-fashion market by focusing on speed, exclusivity, and operational agility, whereas H&M captures a larger audience through affordability and extensive promotional efforts.

SECTION V : DISCUSSION

Analysis of ZARA's Product Portfolio

These distinctions highlight how ZARA's emphasis on speed, exclusivity, and operational agility keep it top three in the fast fashion industry while H&M reaches a more widely spread audience thanks to affordability and massive promotional campaigns.

The regular updating of its collections is a major advantage. New designs guarantee that each trip provides something surprising and interesting and hit the stores every week⁵³. Moreover, the range of items in ZARA's stock reflects its commitment to staying abreast of global fashion trends. Classic, timeless items are blended by the company with **avant- garde**⁵⁴ designs. This balance guarantees that, even as the foundation of the product portfolio rests on timeless trends, there is always opportunity for trial and creativity. The portfolio is also organized⁵⁵ to match different style tastes and price points, therefore appealing to a wide audience. The line of products is precisely divided to appeal to the unique preferences and financial limits of the consumers whether it is a chic work outfit, everyday casual wear for comfort, or an eye catching piece for a special event. This meticulous **segmentation**⁵⁶ is key to gaining a wide market share, so the product portfolio is a strategic asset driving the brand's general market posture rather than merely a collection of products. In conclusion, ZARA's

⁵³ Vh, Nell. "Zara Business Model: How It Stays Ahead With Fast Fashion - NewswireJet." *NewswireJet*, 7 Jan. 2025, newswirejet.com/zara-business-model .

⁵⁴ Jake, Laura. "Avant Garde Style." *Coveti*, 31 Jan. 2025, coveti.com/avant-garde-style/#:~:text=The%20term%20'avantgarde'%20originates%20from,textures%2C%20and%20surprising%20color%20combinations .

⁵⁵ 3.2 Core Components | *Zara Whitepaper*. zara.gitbook.io/zara-whitepaper/3.-technical-architecture/3.2-core-components .

⁵⁶ "Zara Segmentation, Targeting, and Positioning." *Edrawsoft*, www.edrawmind.com/article/zara-segmentation-targeting-and-positioning.html .

product line is distinguished by its wide range, fast turnover, trendware options, and creative segmentation, all of which combine to create an attractive mix that attracts and retains a wide spectrum of consumers.s.

Evaluation of Findings

Our integrated analysis merging qualitative insights together with quantitative data shows that ZARA's market leadership is powered by a comprehensive approach that transcends merely fast manufacturing. The main factors behind the company's **competitive edge**⁵⁷ in an already saturated market are its diversified product line and creative marketing approaches, the evidence rather obviously shows.

In terms of numbers, ZARA's financial data gives robust support for this statement. Although its yearly inventory turnover of 5.12 is less than the fast fashion benchmark of 8–12, this seems to be an intentional decision to support a more extensive product mix⁵⁸ catering to different consumer segments. An ROE of 16.47 percent shows good deployment of shareholder funds; a profit margin of about 15% mirrors great cost control and a top pricing approach. These numbers show that ZARA has excellent profits and capital efficiency despite a lower turnover, which highlights that fast production is not the only factor driving its commercial success. Qualitatively, ZARA's wide range of product line including men, women, children, and home categories guarantees that it meets many different consumer requirements⁵⁹, so developing strong brand loyalty. Further supporting its status as both exclusive and approachable is its marketing approach defined by limited edition releases, immersive instore experiences, and dynamic digital engagement. This strategic mix distinguishes ZARA from rivals who depend on slow product cycles and mass market appeal and causes consumers to be urgent.

⁵⁷ Lewis, Barbara R., and Angela W. Hawksley. "GAINING a COMPETITIVE ADVANTAGE IN FASHION RETAILING." *International Journal of Retail & Distribution Management*, vol. 18, no. 4, Apr. 1990, doi:10.1108/09590559010001105.

⁵⁸ "Zara Marketing Mix (4Ps) Analysis: An In-Depth Look at a Successful Strategy." *Boardmax*, boardmix.com/analysis/zara-marketing-mix/#:~:text=Moreover%2C%20Zara's%20extensive%20product%20range,a%20global%20fast%2Dfashion%20leader.

⁵⁹ *Fashion Consumer Behaviour – Fashion Designing and Apparel Industry*. ebooks.inflibnet.ac.in/hsp07/chapter/fashion-consumer-behaviour/#:~:text=Age%2C%20gender%2C%20marital%20status%2C,affect%20the%20consumer%20buying%20behaviour.

Our analysis directly answers the research question "To What Extent Does ZARA's Product Portfolio and Marketing Strategies Contribute to its Dominance in a Fashion Retail Market?" by showing that ZARA's continued dominance is less about its production speed and more about how well it uses its product diversity and marketing innovation to generate lasting value. Not only the intentional compromise of keeping a bigger inventory and the wise use of marketing tools help to increase profitability but also to improve consumer engagement, therefore guaranteeing that ZARA stays a leader in the cutthroat fast fashion sector. To summarize, the results clearly show that ZARA's competitive advantage rests on its skill for combining strategic market positioning with operational efficiency. By demonstrating that ZARA's dominance in a saturated market is mostly based on the combination of a diverse product portfolio with cutting edge marketing techniques, this all encompassing approach answers the research query and hence offers a powerful, multidimensional competitive advantage.

SECTION VI : Conclusion

Summary of Key Findings

Our integrated analysis combining both qualitative and quantitative perspectives reveals that ZARA's market dominance is driven primarily by its diversified product portfolio and robust marketing strategies rather than solely by rapid production.

Quantitative Findings

With a yearly inventory turnover of 5.12 times—below the fast fashion industry standard of 8–12 times ,ZARA is This lower rate implies that ZARA chooses to keep a wider product variety instead than striving for very fast stock cycling. Operating at the top end of the industry range with a profit margin of around 15%, ZARA reflects good cost control and premium pricing policies. ROE, or return on equity: An ROE of roughly

16.47% shows good utilization of shareholder money, therefore supporting the company's general strategic success and financial soundness.

Qualitative Insights

Product Portfolio Diversity: ZARA ensures it serves various client needs and fosters brand loyalty—even if this means maintaining larger inventory levels—by offering a wide range of collections (men, women, children, and home). **Brand positioning in marketing:** Emphasizing quality, design innovation, and special in-store experiences, its integrated, omnichannel marketing approach helps to properly position the brand as both premium and accessible. **Strategic Trade- Offs:** The conscious choice to strike a mix between quick manufacturing and a varied product range reveals that ZARA gives customer pleasure and thorough market coverage top priority over only achieving high inventory turnover.

ZARA's inventory turnover is lower than the quick fashion ideal, but the solid profit margins and ROE show that a well-balanced approach forms its competitive edge. The company drives its general dominance in the fashion retail sector by using its wide range of products and strategic marketing to keep strong market performance and sustainable profitability.

Emphasizing that ZARA's dominance is more about how successfully its product portfolio and marketing techniques establish a durable competitive edge than about the speed of manufacturing alone, this integrated conclusion directly addresses the research question.

Limitations of the Study

The study is mainly based on secondary information, which might not accurately reflect the brand's internal decision making processes or recent updates of its strategies. Furthermore, the research might not be able to properly reflect recent developments in the business due to the very dynamic nature of customer behavior and fashion trends.

Recommendations for Future Research

Primary data from interviews with ZARA's management, staff, or consumers could be used into future studies to obtain firsthand knowledge of the company's internal operations and customer attitudes. A more thorough grasp of ZARA's competitive posture would be possible by investigating its performance in a larger variety of international markets, especially in emerging economies. Examining how sustainability activities affect brand reputation and customer loyalty would provide important information on how the company's strategy are being shaped by ethical considerations.

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